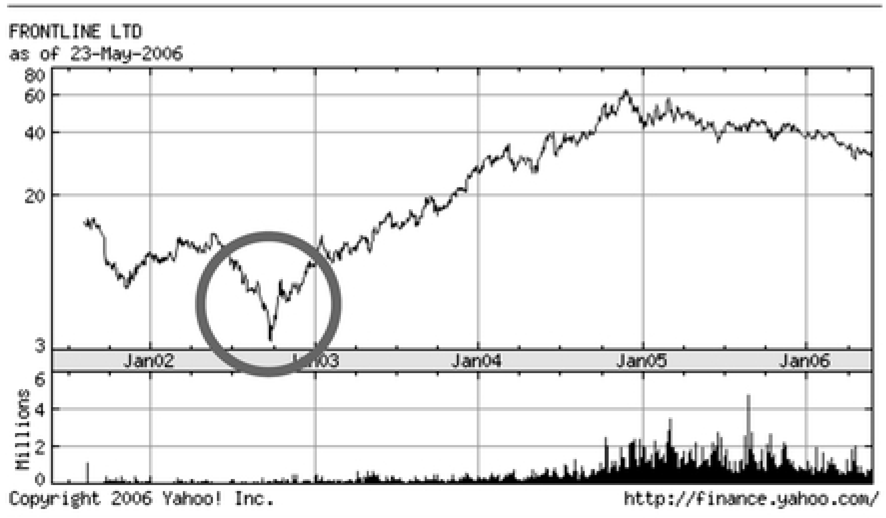

My Knightsbridge research had highlighted that there is a feedback loop in the tanker market. There are two kinds of tankers: single hull and double hull tankers. After the Exxon Valdez spill, all sorts of maritime regulations were instituted requiring all new tankers to be double hull after 2006 because they are less likely to spill oil. The entire Frontline fleet is double hull tankers.

But there were a huge number of single hull rust buckets from the 1970s still being used to transport crude. If the double hull tanker spot rate is at $30,000 a day, the single hull tanker is usually at $20,000 a day. Oil that gets shipped from the Middle East to China or India, for example, is on single hull tankers. But Shell or Exxon will avoid leasing a single hull tanker because it is an enormous liability if it has a spill. The third world is nonchalant about importing oil on single hull tankers, and all the double hull tankers come to Europe and the West. But when rates go to $6,000 a day, the delta between single and double hull disappears.

The single hull tankers stop being rented because there's no significant delta in the daily rate. Everyone shifts to double hull tankers at that point. The single hull tanker fleet goes to zero revenue in a $6,000-a-day rate environment. When it goes to zero revenue, all the companies who own the single hull tankers get jittery. They can sell these tankers to the ship breakers and get a few million dollars instantly. They also know that by 2006, their ability to rent them will decline substantially. Further, if they